

The world in brief

Catch up quickly on the global stories that matter



Photograph: Getty Images

Volodymyr Zelensky, Ukraine's president, called for face-to-face talks with **Vladimir Putin**. In a letter to Russia's leader, Mr Zelensky proposed meeting in a third country, to discuss "the front line today"; he insisted that Europe be involved in negotiations. Ukraine has taken the [initiative](#) on the battlefield and the two countries have exchanged heavy aerial strikes. On Friday a Russian drone killed four people near Kyiv, Ukraine's capital.

Xi Jinping will visit **North Korea** next week for the first time since 2019, Chinese state media announced. It will be the Chinese leader's first overseas trip this year. China is hoping to rebuild ties with [North Korea](#) after they frayed during the pandemic. In March train services between the two countries resumed after a six-year suspension.

America's Senate passed a \$70bn bill to fund Donald Trump's immigration crackdown. Republicans blocked an attempt by Democrats to add an amendment preventing the creation of the president's proposed \$1.8bn "**Anti-Weaponisation Fund**" for supposed [victims of "lawfare"](#) by previous administrations. The House of Representatives will vote on the measure next.

Hizbullah rejected the latest [ceasefire agreement](#) between **Israel** and **Lebanon**, saying it would mean “surrender, defeat and achieving the enemy’s goals”. Earlier, Israel’s defence minister said that “fire and ground” operations in southern Lebanon would continue. That is likely to complicate negotiations between Iran and America. For Iran a ceasefire in Lebanon is a requirement for peace talks.

s&p Global said it would not change the entry requirements for the big indices it runs, such as the s&p 500. Elon Musk has submitted a proposal for his rocketry firm, SpaceX, to be included in the benchmark index soon after its [upcoming ipo](#). But s&p insisted that, unlike many of its competitors, it would not shorten the 12-month “seasoning” period needed for entry.

Blackstone, a big American private-equity firm, is limiting withdrawals from its \$45bn private-credit fund after investors attempted to pull out \$4.5bn in the second quarter. The cap follows similar decisions by rivals like BlackRock in March, and by Partners Group, a Swiss firm, on Wednesday. Fears that [private lenders are overexposed](#) to software companies, which could be disrupted by AI, have prompted investors to retreat.

Thousands of protesters gathered for five consecutive days in **Albania’s** capital, Tirana, to oppose plans for a luxury resort in the country’s protected natural areas. The project, financially backed by Donald Trump’s son-in-law Jared Kushner, is his investment firm’s second attempt to [build properties in the Balkans](#)—plans for a Trump hotel in Serbia were scrapped because of local resistance.

Figure of the day: 1.9, India’s total fertility rate, which is below what is needed for a stable population. Find out why the country’s baby bust [is a warning to the world](#).



Photograph: Getty Images

All aboard the EU express

Six western Balkan countries currently aspire to join the European Union. On Friday their leaders will meet with EU leaders in Montenegro. The country, which restored its independence 20 years ago, is particularly keen to fast-track its application. The government is aiming for “28 by 28”, meaning to become the block’s 28th member by 2028.

Once that slogan would have seemed unrealistic. It is less so now. This week Hungary’s new government lifted the country’s long-standing veto on [Ukraine](#) and Moldova being allowed to join the EU. Both countries are due to begin formal negotiations on June 15th. Iceland is [warming up](#) to the idea of applying too.

Montenegro has some advantages over its rivals for accession. France and Germany both support its membership and, with a population of just 623,000, the tiny country would be easy to absorb. The race is on.



Photograph: Reuters

American jobs are bouncing back

So far in 2026 America's labour market has been stronger than expected. Last year hiring slowed sharply, with average gains of barely 10,000 a month. Excluding health care, [the number of jobs shrank](#). Yet so far this year an average of 76,000 jobs have been added every month—a respectable pace given a sharp decline in immigration and sluggish labour-force growth.

More evidence of a rebound may come this week. On Friday America's Bureau of Labour Statistics will release its report for May. Economists surveyed by Bloomberg expect payrolls to rise by 89,000 while unemployment was steady at 4.3%. Data already released this week point the same way. Job openings have risen sharply and America's manufacturing index recently hit a four-year high, with factories recently hiring more workers. A healthier labour market would ease fears of a downturn. It may also reinforce the view among many Federal Reserve officials that inflation remains a bigger risk for America's economy than unemployment.



Photograph: Alamy

India's economic balancing act

Economists expect that data published on Friday will show that India's economy grew 7.2% year on year in the first quarter. That's not much less than the blistering 7.8% rate recorded at the end of 2025, when commentators were looking forward to a "Goldilocks" scenario of high growth and low inflation.

But India depends on the Middle East for oil, fertiliser and [remittances](#) from migrant workers, and the impact of the Iran war won't show up fully in the figures. (They cover the first month of fighting, when the government spent to support the economy.) Yet there is no hiding the rupee's fall to record lows.

The Reserve Bank of India must now walk a fine line between supporting the currency and sustaining economic growth. On Friday, after a monetary-policy meeting, the central bank left interest rates unchanged as expected. It also revealed a host of measures to prop up the rupee, such as inducements for overseas Indians to buy government bonds.

Long drop

Indian rupee, real effective exchange rate



Source: RBI



Photograph: Getty Images

The cost of war in Japan

On Friday Japan's parliament passed a ¥3.1trn (\$19.5bn) supplementary budget proposed by [Takaichi Sanae](#), the prime minister. Most of it will be used to establish a new reserve fund to protect households from the [economic impact of the Iran war](#). Japan gets more than 90% of its crude oil through the Strait of Hormuz and has been keeping down petrol prices with hefty subsidies.

Investors see a risk of their own. Japan has [enormous public debt](#), around 130% of GDP on a net basis, and the budget will be funded by issuing more bonds. Ms Takaichi insists overall debt need not rise, since stronger revenues have cut planned borrowing elsewhere. But markets are sceptical: concerns over Japan's fiscal health pushed the ten-year bond yield to 2.8% last month, its highest level since 1996. The [yen](#), meanwhile, languishes near ¥160 to the dollar, an almost 30-year low. That is boosting the cost of the same energy imports that the new budget is meant to cushion.



Photograph: Reuters

America tightens the screws on Cuba

Friday is the deadline for foreign firms to cut ties with Gaesa, Cuba's military-run conglomerate, or risk American sanctions. Many have taken the warning seriously. Meliá, a Spanish hotel group, has given up management of 15 Gaesa-owned properties—almost half its portfolio on the island. Iberostar, another hotel chain, has pulled back from a dozen more.

But Gaesa's reach extends far beyond tourism, into logistics, retail, finance and ports. Thus shipping companies, including Hapag-Lloyd, have paused Cuba-related cargo bookings. Visa and Mastercard payments in Cuba will stop from Saturday, after the foreign bank processing those transactions ended its relationship with a Gaesa-linked financial firm. Sherritt, a Canadian mining company, has suspended its participation in a nickel venture.

Donald Trump's administration [hopes economic pressure will weaken](#)—or destroy—Cuba's communist regime. The loss of hard currency will worsen the economic collapse caused by other forms of American pressure and by years of economic mismanagement. In the short run, at least, ordinary Cubans will suffer.



Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Friday: Who in the Bible was Isaac's wife (and mother of Jacob and Esau)?

Thursday: The recovery programme at Alcoholics Anonymous consists of 12 what?

We should do more and talk less.

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